

26VECV01155 26VECV01155

County: los-angeles

Division: Civil Law and Motion

Department: U

Hearing date: 2026-07-15

Motion: DEFENDANT'S MOTION TO COMPEL ARBITRATION

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Case Number: 26VECV01155 Hearing Date: July 15, 2026 Dept: U

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

FOR

THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

LIANA MIRZOYAN,

an individual,

Plaintiff,

vs.

MERCEDES-BENZ USA, LLC, a Delaware

limited liability company; and DOES 1-10, inclusive,

Defendants.

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CASE NO: 26VECV01155

[TENTATIVE] ORDER RE: DEFENDANT'S MOTION
TO COMPEL ARBITRATION

Dept. U

8:30 a.m.

July 16, 2026

I.

BACKGROUND

This case is a lemon
law action filed by Plaintiff Liana Mirzoyan against Defendant Mercedes-Benz USA, LLC.

On May 13, 2023, Plaintiff leased a 2023
Mercedes-Benz GLC 43C4 (the "Subject Vehicle") manufactured by Defendant pursuant
to a motor vehicle lease agreement (the "MVLA"). The MVLA identifies Plaintiff as the Subject
Vehicle's lessee and Keyes European as the lessor. (Ameripour decl., Exh. 2, p. 1.)

Plaintiff pleads that defects and non-conformities
to warranty arose in the Subject Vehicle during the applicable warranty period.
Plaintiff pleads she delivered the

Subject Vehicle to Defendant's authorized repair facility for repairs, but Defendant was unable to conform the Subject Vehicle to the applicable warranty after a reasonable number of repair attempts. (Complaint, ¶¶ 32-33.)

On February 25, 2026, Plaintiff filed her complaint against Defendant.

On April 2, 2026, Defendant filed its motion to compel Plaintiff to arbitrate her dispute with Defendant and requested that the Court stay the proceedings in this case. Defendant asserts that Plaintiff leased the Subject Vehicle subject to the terms of an arbitration provision contained in the MVLA.

On June 16, 2026, Plaintiff filed her opposition brief.

As of 5:00 P.M. on July 13, 2026, Defendant had filed no reply brief.

II.

LEGAL

STANDARD

Parties

may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) that agreement covers the controversy or controversies in the parties' dispute. Code Civ. Proc., § 1281.2; Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 961.

III.

DISCUSSION

Defendant

asserts Plaintiff is bound to arbitrate her dispute with Defendant because there is an agreement to arbitrate contained in the MVLA which designates Defendant as a third-party beneficiary.

The MVLA signed by the parties on May 13, 2023, contains an arbitration provision that reads, in pertinent part, as follows:

“Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a ‘Third-Party Beneficiary’), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.”
(Ameripour decl., Exh. 2, p. 4.)

The MVLA states that Defendant shall be allowed to enforce the arbitration provision as a third-party beneficiary and expressly designates Defendant as such.

A defendant may be able to enforce an arbitration agreement to which it is not a signatory if it qualifies as a third-party beneficiary. See *Mance v. Mercedes-Benz USA* (N.D.Cal. 2012) 901 F.Supp.2d 1147, 1155. The elements necessary to establish a third-party beneficiary relationship are (1) the third party would in fact benefit from the contract; (2) a motivating purpose of the contracting parties was to provide a benefit to the third party; and (3) permitting the third party to enforce the contract is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 830. “Whether the third party is an intended beneficiary or merely an incidental beneficiary involves construction of the intention of the parties, gathered from reading the contract as a whole in light of the circumstances under which it was entered.” *Cione v. Foresters Equity Servs.* (1997) 58 Cal.App.4th 625, 636, quoting *Eastern Aviation Group, Inc. v. Airborne Express, Inc.* (1992) 6 Cal.App.4th 1448, 1452.

The terms of the MVLA executed by Plaintiff and Keyes European expressly designate Defendant, the Subject Vehicle’s manufacturer/distributor, as an intended third-party

beneficiary. Defendant stood to benefit from the MVLA by way of its receipt of indirect profits. Plaintiff asserts, "The language of the arbitration clause itself makes clear that the clause does not benefit the defendant at all - let alone demonstrate that Plaintiffs and Keyes European somehow had the 'motivating purpose,' in entering the clause, of conferring a benefit on either of them." (Opposition, p. 16:4-7.) Plaintiff asserts, "Nowhere does [the MVLA] say that anyone" other than Keyes European and Plaintiff is entitled to enforce the MVLA's arbitration provision. (Opposition, p. 18:2-5.)

The Court disagrees. The fact that the MVLA's arbitration provision specifically states that Defendant shall be entitled to enforce the arbitration agreement is sufficient to show that the parties intended Defendant to be a third-party beneficiary. Plaintiff's own cited authorities support this conclusion. See, e.g., Civ. Code, § 1639 ("When a contract is reduced to writing, the intention of the parties is to be ascertained from the writing alone, if possible"). Plaintiff's argument that manufacturers/distributors cannot be said to benefit from the sales of their vehicles via dealerships is without merit. Plainly, a vehicle manufacturer/distributor gains an indirect benefit when a dealership sells one of the manufacturer's vehicles to a consumer.

Plaintiff argues the motion should be denied based on the holding in *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 because Defendant is not a signatory to the MVLA. Plaintiff's reliance on *Ford Motor Warranty Cases* is misplaced. There, the Supreme Court declined to permit a manufacturer to compel arbitration under principles of estoppel where the arbitration agreement contained no language authorizing enforcement by a third party in the defendant's position. This case is distinguishable from *Ford Motor Warranty Cases* in that the MVLA here specifically extends arbitration rights to Defendant. Thus, the reasoning in *Ford Motor Warranty Cases* does not apply. Defendant may enforce the arbitration provision.

The motion is granted.

IV.

CONCLUSION

Defendant Mercedes-Benz USA, LLC's motion for an order compelling Plaintiff Liana Mirzoyan to arbitrate her complaint against Defendant Mercedes-Benz USA, LLC is GRANTED.

This action is hereby STAYED pending a resolution of arbitration. See Code Civ. Proc., § 1281.4. The Court hereby schedules a status conference re arbitration for December 1, 2026, at 8:30 a.m. If arbitration is completed before that date, Plaintiff is ordered to so advise the Court within 5 days of the completion of arbitration.

Defendant Mercedes-Benz USA, LLC is ORDERED to give notice.

DATED: July 16, 2026

Lee

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Judge
of the Superior Court